Home Mijn netwerk Vacatures Berichten Meldingen Ik Voor bedrijven

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Profielbezoekers 75
Alle analyses weergeven
Naar Sales Navigator

Todd Gardner • 2e
Expert in SaaS Finance, Valuation, Pricing, and Metrics
3 mnd •

+ Volgen

Stop Using Cash Accounting for Your SaaS Company

I used to believe cash accounting was sufficient for SaaS businesses with ARR below $3 million. However, I've realized this is not the case -- cash accounting for revenue is problematic for almost all SaaS companies.

First, let me acknowledge that cash is what makes a company run. You don't pay your vendors or employees in revenue, so it's essential to know your cash flows and project your cash position. That said, cash is noisy and not the best way to build your income statement or track your progress.

Unless your company bills and collects cash monthly, using cash-based revenue recognition generates the following problems.

1. ARR must be tracked separately and can't be tied explicitly to the income statement. (MRR times 12 does not equal ARR when using cash accounting.) Therefore, SaaS metrics using ARR (such as CAC metrics) do not tie directly to the financials, are more subject to error, take additional time to calculate, and are less trusted by investors or acquirers.

2. Retention is more challenging to measure accurately with cash accounting. When comparing current to prior year revenue from a cohort of customers, (static pool NRR calculation), any changes in billing terms will create false churn. In addition, retention numbers will be much more variable month-to-month.

3. Finally, cash accounting makes the business's growth trajectory more challenging to gauge. Seasonality in bookings, lumpy bookings, changes in payment terms, and other factors create noise in cash-based revenue, which obscures underlying trends. See the chart. It's hard to tell what's going on with the cash-based revenue business.

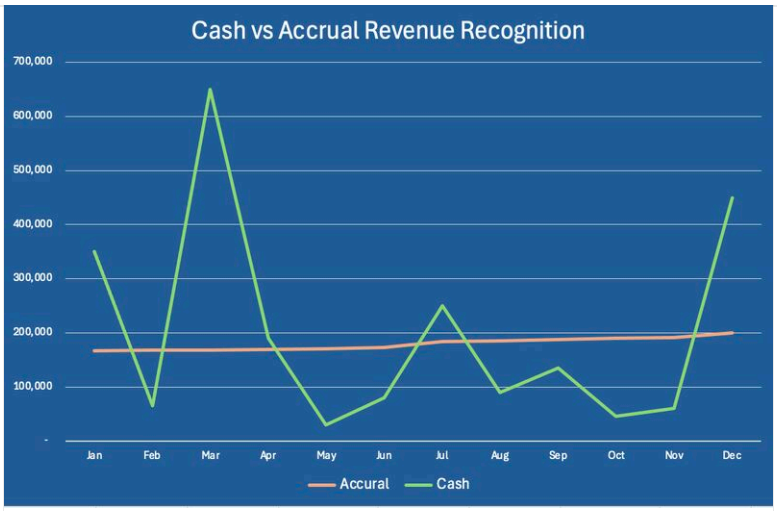
When I was underwriting credit decisions at SaaS Capital, I dealt with a wide variety of financial statements across thousands of prospects. Companies using cash accounting always took more time to understand and, almost by definition, had a weaker grasp of their financial performance than those companies who had adopted accrual accounting.

I'm less concerned about the expense side of the equation. Cash accounting for expenses does add noise to profitability and CAC metrics, but those usually averaged out over time.

It's the revenue side that gets distorted.

I'm not an expert, but if you don't have too many customers, GAAP revenue recognition can be done on a spreadsheet. As a business scales, however, that spreadsheet can get pretty complex and error-prone, and a more robust solution is required.

Vertaling weergeven



172 41 commentaren · 6 reposts

Interessant

ommentaa

Reposten

Versturen

Voeg commentaar toe...

Relevantst

Todd Gardner Auteur 3 mnd
Expert in SaaS Finance, Valuation, Pricing, and Metrics

You can find other SaaS finance content at: https://www.maxio.com/blog/stop-using-cash-accounting-for-your-saas-company?utm_source=toddgardner&utm_medium=social

Or at: saasonomics.com

Vertaling weergeven
Interessant · 1 | Reageren

Siddharth Mathur (He/Him) • 3e+ (bijgewerkt) 3 mnd
IP information & security @ Fastah API | ex-Nokia and WebKit O...

Great views, Todd. Does this apply to subscription + usage-based (hybrid model) SaaS ? We are an API Saas (think Twilio) , so almost 50% of revenue in variable usage-based fee.

Vertaling weergeven
Interessant | Reageren · 2 reacties

Todd Gardner Auteur 3 mnd
Expert in SaaS Finance, Valuation, Pricing, and Metrics

Typically, the usage component is metered and recognized as it's consumed, so if you are billing monthly in arrears, cash will look like accrual. If your customers pre-pay for usage, cash and accrual will diverge. The subscription component should be accrual (spread over the contract period) if it's not also monthly.

Vertaling weergeven
Interessant · 3 | Reageren

Siddharth Mathur (He/Him) • 3e+ 3 mnd
IP information & security @ Fastah API | ex-Nokia and WebKit Open So...

Todd Gardner Thank you !

Vertaling weergeven
Interessant | Reageren

Reacties inklappen

Ben Murray • 2e 3 mnd
The SaaS CFO | The #1 source for SaaS finance education. Video lessons, cont...

It would be lovely at 3M but I rarely see that. However, 3M in revenue is my threshold to recommend going full accrual.

Vertaling weergeven
Interessant · 2 | Reageren · 2 reacties

Todd Gardner Auteur 3 mnd
Expert in SaaS Finance, Valuation, Pricing, and Metrics

I was hoping you would weigh-in, Ben Murray.

Instead of a revenue threshold, maybe we could agree that accrual revenue recognition has real advantages and companies should implement it as soon as it's practical. ...meer

Vertaling weergeven
Interessant · 2 | Reageren

Ben Murray • 2e 3 mnd
The SaaS CFO | The #1 source for SaaS finance education. Video lesson...

Todd Gardner yes I live this every week.

Vertaling weergeven
Interessant · 1 | Reageren

Reacties inklappen

David Spitz • 2e 3 mnd
Founder, BenchSights | Former SaaS Investment Banker | Helping SaaS leader...

Nice Todd Gardner!

Also: please don't use GAAP for anything important that you really care to track!

Vertaling weergeven
Interessant · 2 | Reageren · 4 reacties

Todd Gardner Auteur 3 mnd
Expert in SaaS Finance, Valuation, Pricing, and Metrics

Explain yourself David Spitz. I assume stock option expenses and maybe capitalizing sales expenses are on your list.

Vertaling weergeven
Interessant · 1 | Reageren

Chris Price • 3e+ 3 mnd
Director, Baker Tilly Digital at Baker Tilly

Todd Gardner: In addition to expense recognition, I suspect that David Spitz is also talking about the variety of ways that GAAP revenue recognition can distort MRR/ARR (and derivative metrics) based on accounting for situations like partial period revenue, delayed delivery of services, late renewals, free months, ASC606 MEA allocations, multi-currency, etc. ...meer

Your ARR may be wrong, and it could cost you
Read the article to learn how Baker Tilly Digital's SaaS Intelligence can help businesses calculate accurate SaaS metrics.

Vertaling weergeven
Interessant | Reageren

Nog 2 reacties bekijken

Rick Ralston • 3e+ 3 mnd
Helping founders and CEOs make data-driven decisions

Agreed! One of the first discussions with every SaaS founder/CEO. Had that conversation just yesterday. To me it is not as much the ARR threshold as is it the business model in general. Very difficult and time consuming to compare forecast to actuals without being on accrual.

Vertaling weergeven
Interessant · 1 | Reageren · 2 reacties

Todd Gardner Auteur 3 mnd
Expert in SaaS Finance, Valuation, Pricing, and Metrics

Rick Ralston, another good reason. Thanks!

Vertaling weergeven
Interessant | Reageren

Lance Chastain • 3e+ 3 mnd
C Level Leader - Technology / Infrastructure / GHG Emissions Manage...

Rick Ralston Accounting for Deferred Revenue until earned via accrual is another important aspect.

Vertaling weergeven
Interessant | Reageren

Reacties inklappen

Gabriel Gaultier • 3e+ 3 mnd
DHARAMetrics | Missing Link Analytics

You can essentially turn cash into accrual accounting with only a few extra data points.
Customer #, purchase (or refund) date, product(including length of term), contract start date, amount and tax. If they are using cash accounting, I'd ask for this in the data room!

Vertaling weergeven
Interessant | Reageren · 1 reactie

Todd Gardner Auteur 3 mnd
Expert in SaaS Finance, Valuation, Pricing, and Metrics

Understood Gabriel Gaultier, but that's a lot of work, and in a fundraise or sale, you just created a ton of friction.

Vertaling weergeven
Interessant · 1 | Reageren

Brett Hampson • 3e+ 3 mnd
Finance Director @ Allstate Insurance • I help FP&A teams become proactive ...

But isn't the green more fun?? Like you never know what kind of day you're about to have when you open up Stripe

Vertaling weergeven
Interessant · 1 | Reageren · 1 reactie

Todd Gardner Auteur 3 mnd
Expert in SaaS Finance, Valuation, Pricing, and Metrics

I love the glass is half full guy. :) Brett Hampson

Vertaling weergeven
Interessant · 1 | Reageren

Danny P. Burke • 2e 3 mnd
Deals, Data, Dollars & Sense | Capital | Acquisitions | Data | Investor

100000% in agreement with this statement. We were cash basis and believed it was good enough. As we grow and need better metrics. It is an absolute nightmare. Undergoing the transition from cash to accrual.

Vertaling weergeven
Interessant | Reageren · 1 reactie

Todd Gardner Auteur 3 mnd
Expert in SaaS Finance, Valuation, Pricing, and Metrics

Thanks for the confirmation. You are not alone Danny P. Burke.

Vertaling weergeven
Interessant | Reageren

Lyle Newkirk • 3e+ 3 mnd
CFO Partner at SeatonHill Partners

Todd Gardner, I could not agree more: tracking a SaaS business on the cash method is problematic except for the very small ones. You can fumble badly with investors if you are not tracking the revenue properly. My take on the expense side is a little different than yours: for a smaller company one or two large expenses for annual or quarterly service that fall into the wrong month or ...meer

Vertaling weergeven
Interessant · 3 | Reageren

David Appel • 2e 3 mnd
Global Head, Subscription and SaaS Vertical, Sage Intacct

We built a quick 5-minute tutorial on how to think about this: The Five Steps to Equip your Finance Tech Stack

https://fast.wistia.net/embed/channel/e435qy7824?wchannelid=e435qy7824&wmediaid=ja08zsypq0

SaaS & Subscription

Vertaling weergeven

Interessant · 2 | Reageren

Meer commentaren laden

Gepromoot •••

AFM

Olaf, volg **AFM** en ontvang relevante updates en inzichten

Blijf op de hoogte van ontwikkelingen en nieuws

Jelle en nog 216 connecties volgen ook

Werken bij bezoeken

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